



NPS investments can be used for deduction under Section 80C that has a limit of Rs. 1.5 lac. Additionally, there is an additional deduction of Rs. 50,000 that can be claimed over and above Rs. 1.5 lac under Section 80CCD-1B. This additional deduction is only for our contribution to NPS. This tax saving is a big incentive for most when it comes to pension planning.

NPS falls in the EET category i.e. Exempt-Exempt-Taxable Category. We can claim deductions when we are making the investments, and the income is exempt when we are accumulating the same. However, when we withdraw the money or get an annuity, the amount is taxable as ordinary income.

TAX TREATMENT